

TOWN OF TELLURIDE TOWN COUNCIL AGENDA MEMORANDUM

Item No: 7b
Meeting Date: 4/27/21

TITLE: Consideration Of A Recommendation From The Telluride Housing Authority Subcommittee To Proceed With the Planning, Design, and Cost Estimation Processes for Future Affordable Housing Projects on Sites known as the Voodoo Lounge (northeast corner of Willow St. and Pacific Ave.), the Virginia Placer, and the Tower House Condominiums (southwest corner of S. Tomboy St. and W. Colorado Ave.

SUBMITTING DEPARTMENT: Town Manager's Office

EXHIBITS:

1. Voodoo Lounge, Virginia Placer, and the Tower House Condominiums Vicinity and Site Maps
 2. Telluride Affordable Housing Strategic Plan ("TAHSP")
 - a. Evaluation Criteria
 - b. 4/21/21 Draft Telluride Regional Housing Strategy Matrix
 - c. Potential Site Map
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BOARD/COMMISSION/COMMITTEE RECOMMENDATIONS: The Telluride Housing Authority Subcommittee recommends the Town proceed with the Planning, Design, and Cost Estimation for three future Affordable Housing Projects as set forth below.

INTRODUCTION/BACKGROUND

Consistent with the 2021 Town Council Goals and Objectives *1. Preserve Community; A. Pursue Affordable Housing Opportunities and Maintain Existing Rental or Ownership; 1. Plan, prioritize and implement future projects, b. Voodoo lounge (deed restricted commercial) and c. Other Town properties*, the Telluride Housing Authority Subcommittee ("Committee") has prepared for Council's consideration recommendations as set forth herein regarding future affordable housing projects for the following sites: Voodoo Lounge (Lots 1 & 3, and portions of Lots 2, 4, 6 & 8, Block 10, Town of Telluride); Virginia Placer – Phase 2A (Lot B-1.2R Virginia Placer Subdivision, Town of Telluride); and the Tower House (Lots 31-33, Backman Village Subdivision, Town of Telluride). Please find attached as Exhibit 1 Vicinity and Site Maps indicating the subject properties, which are more completely described in this memorandum.

At its April 21st meeting, the Committee recommended the Town Council of the Town of Telluride, Colorado initiate the site planning, design, and cost estimation processes for the sites known as: Voodoo Lounge, Virginia Placer – Phase 2A, and Tower House, and direct the THA Subcommittee to:

- a) issue Requests for Qualifications for design and cost estimating (Design/Build) services for the projects; and
- b) prepare recommendations for Town Council's subsequent consideration regarding:
 - i. project purposes (for example rent or for-sale, incorporation of other uses, etc.)
 - ii. affordability targeting (AMI ranges, etc.)
 - iii. specific unit types and mix
 - iv. development and financing approaches
 - v. development implementation schedules

The Committee believes its recommendations are neutral relative to, and would have no impact on, the current Southwest Area Planning process (*2021 Town Council Goals and Objectives, C. Utilize Land Use Planning to Protect the Character of Our Community, 2. Complete Southwest Area Plan and begin implementation*). Committee members are aware of this on-going process, and the anticipated Town Master Plan Update, and will continue to coordinate with these planning projects as appropriate.

The Committee recommendation is also consistent with the Telluride Affordable Housing Strategic Plan ("TAHSP"), which, as you may recall, in part identifies, evaluates, and assigns relative values to sites within Telluride and the region upon which the Town could construct deed-restricted affordable housing. The result of this evaluative process is expressed in a "matrix," a working document wherein sites are numerically rated based on their relative value and suitability for housing development.

An important consideration when reviewing and applying the site identification and evaluation process in the TAHSP is that it does not designate housing sites; rather it is a system to evaluate properties as to their relative housing potential and desirability. Also, the matrix ratings developed by the TAHSP is not intended as a priority list of action, or an implied ordering for affordable housing development. Rather, it is intended to be an evolving tool which the Town may employ as needed to evaluate new or existing sites relative to others as part of its determination as to whether to proceed with a project, acquire land for affordable housing, or to use Town-owned property for housing purposes.

The "matrix" tool is updated regularly and in recent months the Committee has conducted several worksessions to update and refine the matrix, evaluation criteria, and potential site map. The current status of these documents is depicted in Exhibit 2. In this latest iteration, the Committee has updated the Evaluative Criteria to:

1. Simplify by condensing the previous 10 criteria into 6, and updating the criteria to reflect current community values. This was primarily achieved through the creation of the new *Sense of Community/ Neighborhood Vitality*, *Consistency with Climate & Carbon Neutral Goals*, and *Development Costs & Challenges* criteria, which replaced, eliminated or otherwise embedded the previous criteria of *Suitability for a Range of Unit Types*, *Potential for Other Uses and Amenities*, *Quality of Development/Livability*, *Location*, *Disperses Housing*, *Complexity of Securing the Site* and *Estimated Cost of Construction*.